Hollowell Patent Group PLLC

www.hollowellpatent.com

May 2, 2020

Middleton, Sullivan and Wiley

Attention: Barbara Blair, Director of Operations

Dear Ms. Blair:

This letter sets out the terms on which we will represent Middleton, Sullivan and Wiley in the freedom-to-operate analysis we discussed last month. Please read all of it. If it states our understanding correctly, sign the enclosed copy and return it to me. If any part of it does not, say so before you sign rather than after. Every term below is one I would rather negotiate now than explain later.

Scope of the Engagement

You have asked us to advise whether the device described in the materials your engineering group furnished can be made, used, offered for sale, sold, or imported in the United States without infringing an unexpired claim held by another party. We will search United States patents and published United States applications, identify the claims we consider material, construe those claims for the purpose of this analysis, and give you our view, in writing, of whether the device as described falls within them.

The engagement does not include the following, and I want that stated in the letter rather than discovered in a meeting: an opinion on the validity or enforceability of any patent, except where we say so expressly and in writing; clearance in any jurisdiction outside the United States; monitoring of applications that publish after the search cutoff we set; the preparation or prosecution of any application; and any representation in litigation or in a proceeding before the Patent Trial and Appeal Board. Each of those is work we can do, and each requires its own engagement letter.

Our analysis is bounded by the device description you give us. If the design changes in any respect that bears on a claim element we chart, the analysis may no longer describe your product. The obligation to tell us of such a change is yours, and we have no way to detect one on our own.

Approach

We will work in three phases. First, intake: we will characterize the device element by element and agree with you in writing on the description we are clearing, so that the thing we analyze and the thing you intend to ship are the same thing. Second, search and charting: we will develop the search, set a cutoff, review the results, and chart the material claims against the agreed description. Third, analysis and report: we will deliver a written memorandum stating our conclusions, the assumptions on which they rest, and what was searched to reach them.

We do not give oral clearance opinions, and we do not write that a product does not infringe without saying what was searched and what was assumed. A conclusion without its limits is not advice you can rely on, and it is not advice this firm gives. Expect the memorandum to be qualified where the question is genuinely unsettled and plain where it is not. If a qualification in it troubles you, the remedy is to ask what would have to be true to remove it, not to ask us to remove it.

The Team

Heather Munoz, Partner, will carry the substantive analysis and will sign the memorandum. Richard Henderson, Patent Agent, will perform the claim charting and the element-by-element comparison against the agreed device description. Kelly Snyder, Patent Agent, will work the file histories and the prior art record. I will supervise the engagement and remain your point of contact on any question of scope, staffing, or terms. If you are ever dissatisfied with any of the three, the conversation is with me and I would rather have it early.

We have run our conflicts check against the parties you identified at intake and are clear to proceed. If you become aware of an adverse party we have not been told about, tell us at once. A conflict found at the outset is an inconvenience. A conflict found in the middle of an opinion costs you the work you have paid for.

Fees and Payment

Our fee for the work described above is $113,500, fixed for that scope, and we will begin work on May 12, 2020. Work outside the scope will be billed at our standard hourly rates, but only after we have told you in writing that the work is outside scope and you have instructed us in writing to do it. We invoice monthly against progress. Invoices are due thirty days from the date of the invoice. Out-of-pocket costs, including search vendor charges and official fees, are billed at cost and are not covered by the fixed fee.

If an invoice goes sixty days unpaid we may suspend work on written notice, and we will. I state that plainly because the consequence is not merely commercial: a suspension does not stop a date from running, and a suspended matter is the one circumstance in which a date can be missed through no fault of this firm. I would far rather have an awkward conversation about an invoice than write you the other letter.

Term and Termination

The engagement begins on the date stated above and ends when we deliver the memorandum and you have paid for it. Either of us may terminate on written notice. You remain responsible for fees earned and costs incurred through the effective date of termination. We may withdraw where the rules of professional conduct require or permit it, including for nonpayment, for a conflict that develops after we begin, or if you ask us to state a conclusion the analysis does not support. On termination we will return your materials and give you a written accounting of where the work stood when it stopped.

Confidentiality

We will hold your confidential information in confidence and use it only for this engagement. Our communications with you and the memorandum itself are intended to be protected by the attorney-client privilege and the work product doctrine, and we will mark them accordingly. The privilege is yours, not ours, and it is easier to waive than to assert. Circulating the memorandum beyond the people who need it to make the decision can waive it; forwarding it to a customer, a distributor, or an investor very likely will. Route distribution questions to Heather Munoz before the fact rather than after.

Limitation of Liability

Our aggregate liability arising out of or relating to this engagement is limited to the fees actually paid to us under it, and we are not liable for indirect, incidental, or consequential damages, including lost profits. This paragraph is not boilerplate about an unlikely event, and I will not let you sign it as though it were. A freedom-to-operate analysis is an opinion formed on a public record at a point in time. It cannot exclude a claim in an application that had not published when we searched, a claim the search did not surface, or a construction a court adopts that we did not predict. You are buying our judgment, exercised with care and stated with its limits. You are not buying a guarantee, and no competent firm will sell you one.

Governing Law

This letter and the engagement it describes are governed by the laws of the state in which the firm maintains its principal office, without regard to its conflict of laws rules. If a dispute arises between us over fees, we will each participate in the fee dispute resolution program of that state's bar before either of us files anything anywhere.

If this letter states our agreement, please sign below and return one executed copy to me; the second is yours to keep. On receipt, Heather Munoz will contact Barbara Blair to schedule the intake session, and Richard Henderson will send the document request that precedes it. We are glad to be doing this work for Middleton, Sullivan and Wiley, and we intend to earn the next matter with it.

Mary Bradley
Managing Partner
Date: May 2, 2020

Barbara Blair
Director of Operations, Middleton, Sullivan and Wiley
Date: May 2, 2020